

Failed Eskom restructuring threatens electricity supply security

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BUSINESS DAY 12 February 2013

Another failed attempt to restructure Eskom will make it more difficult for private investors to build independent power plants (IPPs) and South Africa will face more years of constrained electricity supply.

It has now become apparent that the proposed Independent System and Market Operator (ISMO) Bill will not be voted on by Parliament anytime soon. The ISMO Bill sought to remove electricity market functions - such as planning, procurement and contracting of new power - from Eskom and to place these in an independent state-owned utility, subject to determinations made by the Minister of Energy.

Why is the ISMO important or relevant? Well, quite simply, the ISMO Bill (and proposed amendments to the Electricity Regulation Act) would have created a level playing field between Eskom and IPPs. These legislative initiatives sought to remove a real conflict of interest. Eskom is the dominant player in the electricity sector, it builds its own generation plant, and it has no incentive to initiate or conclude contracts with independent producers. The consequences of this conflict of interest are plain for all to see: Eskom is unable to meet electricity demand reliably or securely. The reasons are not only because it has not built enough new power generation capacity in time but also because it has missed a number of opportunities to contract additional power from IPPs.

The Energy White Paper, published in 1998, predicted that new power sources would be needed by 2007. Indeed power shortages became apparent from 2006 and in January 2008 Eskom had to shutdown our entire mining industry for a week because it ran out of power. The costs to the economy have run into tens of billions of rand. In November last year, Eskom again declared *force majeure* and forced large electricity customers to curtail demand by ten percent. Economic growth is being constrained because of inadequate electricity supplies.

Power shortages will continue for the next three or four years until enough new units of the new mega-coal plants, Medupi and Kusile, are commissioned. But we need not have been in this situation. If Eskom had signed power deals with IPPs, South Africa would now have sufficient energy to support new investment and accelerated economic growth.

For example, developers of the 800MW Kudu gas-to-power project in Namibia have tried on a number of occasions to get Eskom to commit to a long-term contract, but the national utility argued that the prices offered were too high and that it could build power stations more cheaply.

In 2009, the Canadian-financed 1200MW Mmamabula coal project in Botswana offered Eskom a rand denominated long-term contract for 72c/kWh, with below inflation escalation clauses. \$100 million of private risk equity had been spent developing the project. Everything was ready. A Chinese engineering contractor had been signed. Finance was in place. If Eskom had signed a power purchase agreement, the project would now be delivering power. But once again, Eskom argued it could do better. We now know that Medupi and Kusile will cost very much more than either Kudu or Mmamabula.

Eskom has also failed to conclude any of its own IPP procurement initiatives within South Africa. In 2007, it launched a Pilot National Cogeneration Programme (PNCP) and issued an

Expression of Interest which subsequently elicited 125 qualifying bids totaling 4900MW. None were contracted.

In 2008, Eskom initiated a Medium Term Power Purchase Programme (MTPPP) for projects that could supply a total of 3000MW of electricity to the grid by 2012. However, decisions on preferred bidders were delayed repeatedly and by 2011 only 373MW had been contracted.

Eskom also called for an Expression of Interest in April 2008 for potential base-load projects to which 76 companies responded. The utility then issued a Request for Qualification (RFQ) in August 2008 in terms of which 23 local and international developers pre-qualified. However, by 2009 the Base-load Programme, along with the PNCP and MTPPP, had all been suspended by Eskom.

Some have described Eskom's actions as malicious compliance. It has accepted that it is government policy to introduce IPPs. Eskom has gone through the motions, but in each case the initiatives have yielded nothing. Others have suggested that it is unfair to blame Eskom managers who are beholden to the political directions of its shareholder, the Department of Public Enterprise. The real battle, they argue, is who controls big investment decisions.

The Department of Energy's (DoE's) frustration with Eskom came to a head around plans to procure renewable energy IPPs. Originally the plan was to offer a standard feed-in tariff and Eskom was tasked with preparing the contract documents. After two years, and no contracted IPPs, DoE, with the assistance of National Treasury, launched its own renewable energy IPP programme (REIPPP) in 2011. Three rounds of competitive bids have since yielded 64 new projects worth a total of 3920MW and have mobilized R118 billion of private investment.

Given this recent success, some may ask why the ISMO is still important. However, the REIPPP is being managed by more than 100 private consultants under the supervision of less than a handful of key staff at DoE and National Treasury and is vulnerable to changes in personnel in these departments. What is now needed is to institutionalize, consolidate and strengthen this procurement and contracting capacity within the ISMO and to extend the procurement programme to base-load IPPs.

The serial failures of Eskom to facilitate private investment in power, its inability to meet electricity demand and, by contrast, the success of the REIPPP programme, would appear to make the argument for establishing a neutral, independent institution to procure and contract IPPs obvious.

That makes the shenanigans around the ISMO Bill all the more surprising. President Zuma, in his State of the Nation Address in 2010, committed government to establish the ISMO. The National Planning Commission came out in support of the ISMO. The draft ISMO Bill was approved by Cabinet and was passed by Parliament's Energy Committee in March 2013. It was due for debate in the National Assembly on 12 June but at the last moment was withdrawn and, without any published reasons, was sent back to the Energy Committee which approved it for a second time on 8 November. It was due to be debated on the last day of Parliament last year but on the morning of the debate was moved below the line, effectively meaning that it could not be debated and has thus lapsed. The Bill can now only be resuscitated if it is re-introduced by the Minister. That seems unlikely before the elections.

All this detail may seem a little arcane – but it demonstrates the trench-like warfare by vested interests against the Bill. The issues are now clear: will Eskom be allowed to maintain its monopoly, including being able to frustrate the entry of IPPs, or will government create a professional and independent electricity market operator that will procure and contract new power at competitive prices. It is clear which option is in the national interest. Electricity consumers will watch this space carefully.

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